

Delivering on Multiple Growth Vectors, NPO a New Leg to Scale-Up Story

A clean print and higher guide, but the raise mostly matched expectations and our preview. The main growth drivers remain intact, with EML demand 30%+ ahead of supply, pumps sold out, 1.6T ramping strongly in F1Q, and continued strength in OCS. GM crossed 50% early. From here, the next leg needs clearer CPO/NPO roadmap timing.

Delivered another solid beat/raise but the upside is largely in line with expectations and our preview. The most important growth drivers remain firmly intact, with EML demand still running 30%+ ahead of supply, pump lasers sold out against a planned 4x shipment increase underwritten by largely take or pay agreements, 200G EMLs above 25% of EML revenue on a path to majority volume by mid-2027, and 1.6T Tx adoption set to intensify beginning in fiscal Q1. OCS looks on track to deliver its first triple digit revenue quarter in F1Q, and although there was no upside to the \$400M figure for 2H26, the view that they will win majority share at Google in C27 surprised us. On CPO, while NVDA's plans for scale up deployments may push to 1H 2028, LITE's timeline has not changed, with ultra-high power laser shipments still expected to begin in 2H27. One incremental positive was that GM crossed 50% well ahead of the \$2B quarterly run rate management originally attached to the milestone, and we view the underlying drivers of higher utilization, richer laser mix, and yield improvement as fundamental and durable, though we acknowledge backlog repricing added a tailwind that should continue to flow through as LTAs reset. Looking forward, GMs in the Cloud Light business are improving on yield, utilization, and initial 1.6T ASPs, but the steep ramp of that lower-margin revenue likely softens the potential for margin expansion over the NTM before the UHP laser opportunity for scale-up begins to unfold more meaningfully in 2H27. LITE has an enviable set of growth drivers coming together across lasers, transceivers, and OCS, but we believe the story needs incremental clarity on customer roadmaps, particularly around CPO and NPO adoption timing, to drive the next leg higher.

Cloud Demand Continues to Accelerate in June with 50%+ GM: June revenue reported slightly above at \$1.01B (+24% Q/Q, vs St. \$988M). Components up (\$649M, +22% Q/Q) driven by laser momentum continuing across all categories with narrow-linewidth lasers growing > 130% Y/Y and pump lasers up > 80% Y/Y. Systems also up (\$357M, +30% Q/Q) led by both cloud transceivers and OCS. We model Cloud & Networking at \$950M (+26% Q/Q) driven by strength in Transceivers followed by Lasers. We model Industrial Tech at \$56.3M (flat Q/Q) with continued softness in Industrial Laser and slight growth in 3D Sensing. GM came in well ahead at 50.4% (vs St. 48.4%) due to better manufacturing utilization, favorable mix, and increased pricing on select products. OM came in higher at 36.6% (vs St. 35.6%) despite higher Opex at \$138M (vs St. \$126M). EPS reported well above at \$3.23 (vs St. \$2.97).

FY (Jun)	2025A	2026E	2027E	2028E
Rev. (MM)	2,105.2	4,593.4	7,659.1	10,291.5
Cons. Rev.	2,105.2	4,309.3	7,223.0	10,515.6
EPS	4.22	15.17	28.21	39.73
Cons. EPS	4.22	13.30	24.06	37.29

ESTIMATE CHANGE	
RATING	BUY
PRICE	\$820.59*
PRICE TARGET % TO PT	\$1,200.00 +46%
52W HIGH-LOW	\$1,085.68 - \$111.20
FLOAT (%) ADV MM (USD)	68.4% 3,732.79
MARKET CAP	\$83.0B
TICKER	LITE

*Prior trading day's closing price unless otherwise noted.

Cal	CHANGE TO JEF		JEF vs CONS	
	2026	2027	2026	2027
REV*	+4%	+16%	+7%	+6%
EPS	+11%	+26%	+14%	+17%

2026 (\$)	Q1A	Q2A	Q3	Q4	Cal
EPS	2.37	↑3.23	↑4.23	↑5.34	↑15.17
PREV		2.98	3.75	4.60	13.70

*Rev. (MM)

All values displayed are of Calendar year.

Figure 1 - Results and Guide

\$M	JUNE RESULTS		
	Reported	JEF Est	Consensus
Revenue	\$1,006	\$992	\$988
Q/Q	24%	23%	22%
Y/Y	109%	106%	105%
Gross Margin	50.4%	49.0%	48.4%
Operating Expenses	138	134	126
Operating Margin	36.6%	35.5%	35.6%
Net Income	\$326	\$304	\$300
EPS	\$3.23	\$2.98	\$2.97
Share Count	101	102	101

\$M	SEPTEMBER GUIDE		
	Guidance	JEF Est	Consensus
Revenue	\$1,250	\$1,199	\$1,157
Q/Q	24%	21%	17%
Y/Y	134%	125%	117%
Gross Margin		49.4%	48.9%
Operating Expenses		145	132
Operating Margin	40.0%	37.3%	37.5%
Net Income	\$428	\$384	\$368
EPS	\$4.20	\$3.75	\$3.61
Share Count	102	103	102

Source: Company Reports, FactSet, Jefferies Research

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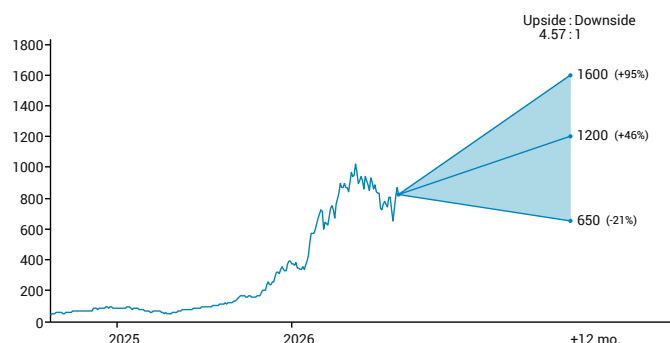
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The Long View: Lumentum

Investment Thesis

- We continue to see LITE as a share winner with the move to EMLs and expect growth in the transceiver business as well as the market looking for more US capacity.
- Despite investor CPO fears, LITE share capture will be enough to offset content reduction to make any CPO adoption a wash.

Risk/Reward - 12 Month View



Base Case, \$1200, +46%

- The excess Telecom inventory correction among Service Provider customers is completed. The business returns to more normal run rates and improves as AI-based traffic growth drives their DCI and transmission business.
- The Cloud Light / Transceiver business stays at status quo with 3 Cloud Provider customers (including Google).
- Underlying Datacom market demand remains healthy as the DC market shifts to higher speeds and DC clusters get larger.
- **Price Target: \$1,200** implies 30x our CY28E EPS of \$39.73.

Upside Scenario, \$1600, +95%

- Lumentum continues to grow their EML and transceiver business via new market share wins and organic market growth. Data centers pivot hard toward EML-based transceiver designs and single-mode fiber.
- The Cloud Light / Transceiver business wins additional Cloud customers (beyond their current 3 wins).
- Optical Circuit Switching and Photodetectors represent significant new market opportunities for Lumentum.
- **Price Target: \$1,600** implies 32x our CY28E EPS of \$50.00.

Downside Scenario, \$650, -21%

- The excess Telecom inventory correction among customers lingers through 2025. Fundamental end-market demand deteriorates – further extending the excess customer inventory issue.
- Lumentum is not able to execute against their additional Cloud Provider customer wins. They fail to win substantial transceiver market share.
- Quarter-to-quarter volatility remains a fixture in the business – limiting investors' desire to pay higher PE multiples.
- **Price Target: \$650** implies 22x our CY28E EPS of \$30.00.

Sustainability Matters

Top Material Issue(s): 1) Product Design and Lifecycle Management are important considerations for network operators looking to maximize performance and cost. Lumentum's Product Development Process (PDP) framework allows the company to complete as many design iterations as possible prior to production readiness. This enables teams to quickly identify programs that may need to be discontinued or revised before spending resources on production. This has not only improved product quality and saved production costs, but helped teams identify higher power, more efficient, and lower cost solutions for products.

Company Target(s): 1) Global net-zero emissions (Scope 1 and 2) by 2030. **2)** Reduce annual water withdrawal by 5% by 2023 (compared to 2020 levels). **3)** Divert 90% of non-hazardous waste by 2027.

Qs to Mgmt: 1) What are Lumentum's short- and medium-term hiring goals as they relate to diversity, equity, and inclusion? **2)** Do advances in power and cost reduction for customers allow for greater pricing power, and how important are these factors in conversations with customers?

Catalysts

- Improved consistency of results.
- New Cloud Provider wins.

September Ahead as 1.6T Ramps and OCS Hits Triple Digit Revenue: September revenue guided better at \$1.25B (+24% Q/Q, vs. St. \$1.16B). While not guided by segment, management expects roughly half of the sequential growth to come from Components and half from Systems, with the latter led by 1.6T transceivers and accelerating OCS. We model Cloud & Networking up 26% Q/Q (vs St. +15% Q/Q) with 30% growth in DC laser components and 18% growth in transceiver modules. We model Industrial Tech up +1% (vs St. +6% Q/Q) with lasers +1% and 3D sensing flat. OM guided well above at 40.0% (vs. St. 37.5%). EPS much better at \$4.20 (vs St. \$3.61) with diluted share count of 102M. Tax rate for the year is expected to be 16.5%. In 2H26, management noted OCS is on track for \$400M+, with SepQ the first triple-digit quarter and a path to #1 OCS supplier by early C27. Management expects demand for both EML and CW lasers to grow significantly through 2H26 and into C27.

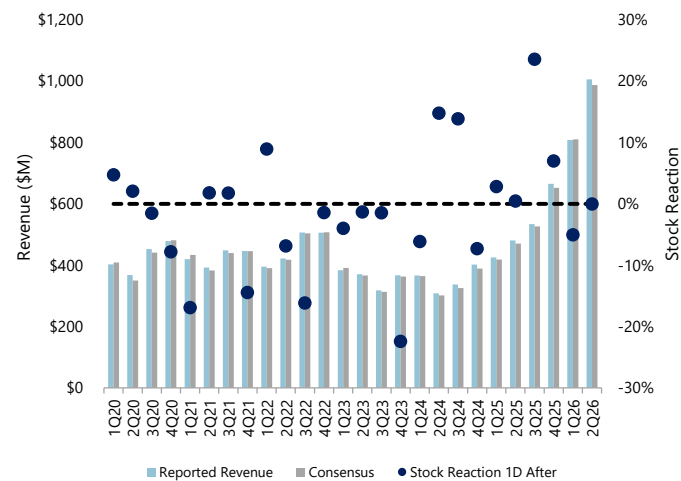
Notable Call Details: Initiated production of 1.6T transceivers alongside shipping record 800G volumes, with 1.6T uptake expected to intensify from fiscal Q1 through CY27 as lead Tier 1 hyperscalers transition custom AI clusters, where LITE believes it is first to market ahead of larger competitors. OCS internal shipments doubled 3QF26 to 4Q and the 1QF27 guide includes LITE's first triple-digit OCS quarter (meaningfully above \$100M), with the >\$400M back-half C26 plan reiterated and LITE expecting to become the leading OCS supplier by early C27. On CPO, lead-customer plans remain on track with a stronger demand signal, supporting an ultra-high-power laser ramp in 2H C27 ahead of C28 scale-up (tracking towards ~\$50M by the end of C26 and reaching a first triple-digit quarter in fiscal Q3), and LITE secured its first ELS module order for 2H C27 delivery at a higher ASP but slightly lower margin than the lasers alone. NPO was framed as completely additive to the optical TAM, with strong momentum across multiple engagements and even the largest CPO customer evaluating it. EMLs set another record with 200G now >25% of EML revenue, and CW lasers for 200G/lane silicon photonics are shipping at accretive margins on a smaller die and price premium. The EML supply-demand imbalance was unchanged while ultra-high-power lasers fell further behind on accelerating demand. Capacity is expanding across two Japan InP fabs plus the Greensboro GaAs-to-InP conversion (first revenue early 2028). June capex was \$167M partially offset by LTAs, and LITE equitized ~\$1.1B (~35%) of its converts via a one-time non-cash \$7.8B GAAP charge.

Figure 2 - New vs Old vs Consensus Estimates

		New vs Old				
		Sep-26	Dec-26	CY26	CY27	CY28
JEF New	Revenue (M)	\$1,253	\$1,526	\$4,593	\$7,659	\$10,291
	EPS	\$4.23	\$5.34	\$15.17	\$28.21	\$39.73
JEF Old	Revenue	\$1,199	\$1,413	\$4,412	\$6,621	\$8,269
	EPS	\$3.75	\$4.60	\$13.70	\$22.35	\$28.19
Consensus	Revenue	\$1,157	\$1,356	\$4,309	\$7,173	\$10,516
	EPS	\$3.61	\$4.35	\$13.30	\$23.94	\$37.29

Source: FactSet, Jefferies Research

Figure 3 - Historical Earnings Surprise vs Stock Reaction



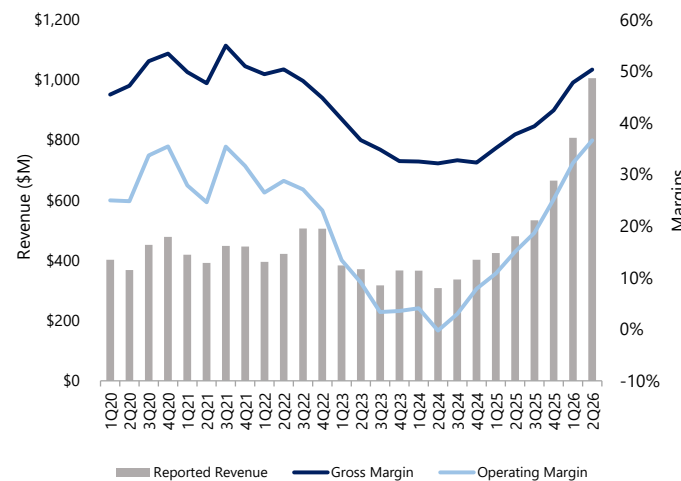
Source: Company Reports, FactSet, Jefferies Research

Figure 4 - Forward P/E



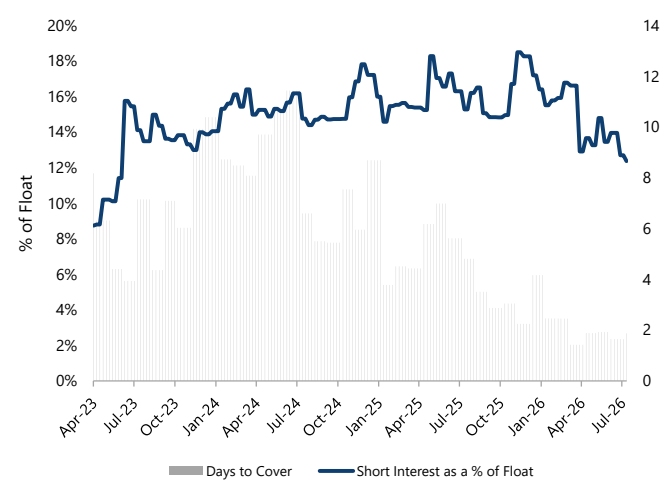
Source: Company Reports, FactSet, Jefferies Research

Figure 5 - Historical Margins



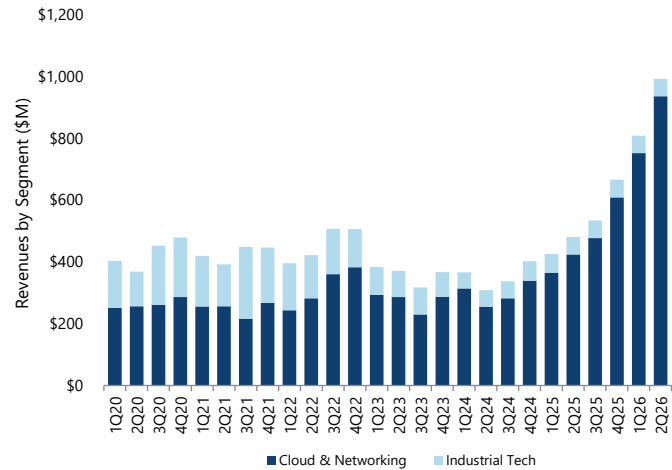
Source: Company Reports, Jefferies Research

Figure 6 - Short Interest



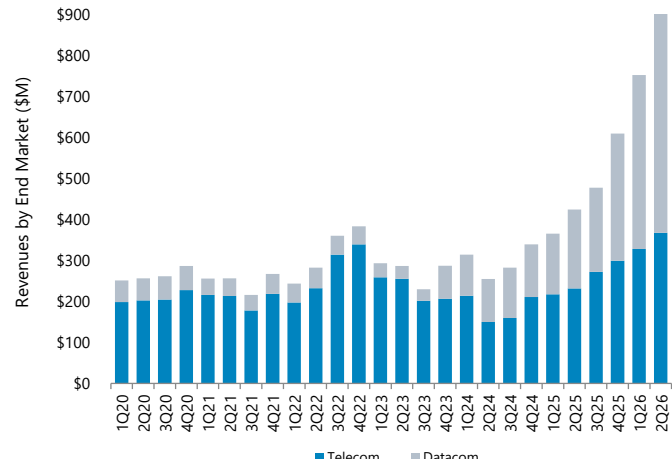
Source: FactSet, Jefferies Research

Figure 7 - Revenues by Segment



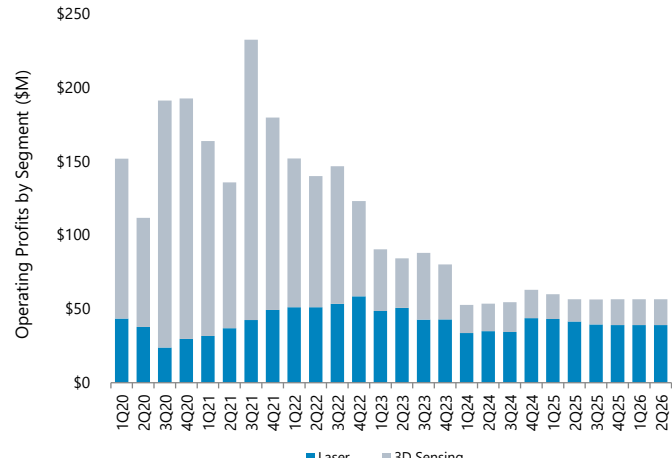
Source: Company Reports, Jefferies Research

Figure 9 - Cloud & Networking Revenue Mix by End Market



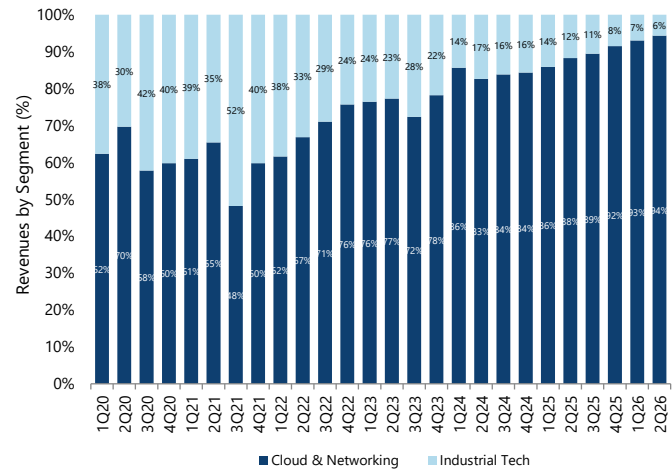
Source: Company Reports, Jefferies Research

Figure 11 - Industrial Tech Revenue Mix by End Market



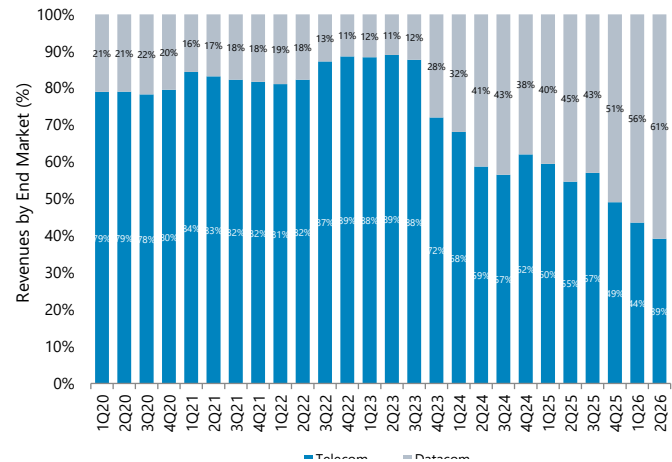
Source: Company Reports, Jefferies Research

Figure 8 - Revenues by Segment (% of Sales)



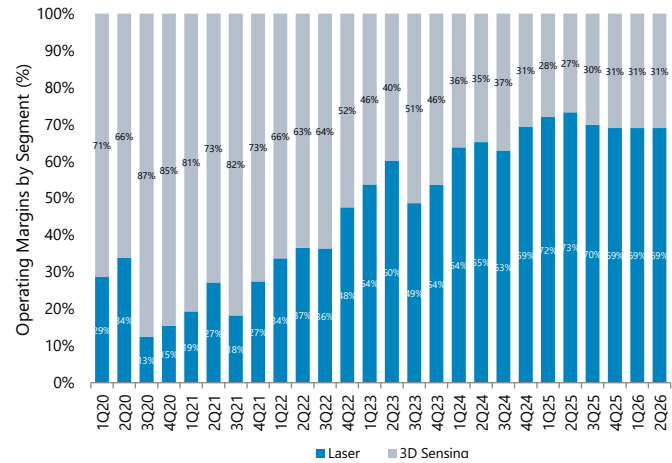
Source: Company Reports, Jefferies Research

Figure 10 - Cloud & Networking Revenue Mix by End Market (% of Sales)



Source: Company Reports, Jefferies Research

Figure 12 - Industrial Tech Revenue Mix by End Market (% of Sales)



Source: Company Reports, Jefferies Research

Figure 13 - Revenue Breakdown

Lumentum Period Ending \$ in million	9-25 3Q	12-25 4Q	3-26 1Q	6-26 2Q	9-26 3QE	12-26 4QE	3-27 1QE	6-27 2QE	9-27 3QE	12-27 4QE	2025 CY	2026 CYE	2027 CYE	2028 CYE	2025 FY	2026 FYE	2027 FYE
Segment Model																	
Cloud & Networking	\$477.3	\$609.0	\$751.9	\$950.0	\$1,196.3	\$1,469.0	\$1,606.4	\$1,768.4	\$1,922.3	\$2,126.1	\$1,875.6	\$4,367.1	\$7,423.2	\$10,046.6	\$1,410.8	\$2,788.2	\$6,046.0
Telecom	272.3	299.0	327.9	381.3	419.4	452.9	475.6	499.3	524.3	550.5	1,020.5	1,581.5	2,049.8	2,152.3	819.5	1,280.5	1,847.2
Datacom	205.0	310.0	424.0	568.8	776.9	1,016.1	1,130.8	1,269.0	1,398.0	1,575.5	855.1	2,785.7	5,373.4	7,894.4	591.3	1,507.8	4,192.8
Lasers/Other	115.0	160.0	199.0	257.8	335.1	368.6	383.3	394.8	402.7	410.8	467.1	1,160.4	1,591.6	1,910.0	345.3	731.8	1,481.8
Transceivers (Cloudli	90.0	140.0	200.0	260.0	306.8	337.5	364.5	382.7	394.2	406.0	378.0	1,104.3	1,547.4	1,934.2	246.0	690.0	1,391.5
OCS		10.0	25.0	50.0	125.0	250.0	275.0	302.5	317.6	333.5	10.0	450.0	1,228.6	1,535.8		85.0	952.5
CPO				1.0	10.0	60.0	108.0	188.0	283.5	425.3		71.0	1,005.8	2,514.4		1.0	367.0
Industrial Tech	\$56.5	\$56.5	\$56.5	\$56.3	\$56.7	\$56.8	\$57.0	\$57.2	\$60.1	\$61.6	\$229.6	\$226.2	\$235.9	\$244.8	\$234.2	\$225.8	\$227.6
Laser	39.5	39.0	39.0	38.8	39.2	39.4	39.8	40.2	41.4	43.5	163.1	156.4	164.9	173.1	162.7	156.3	158.6
3D Sensing	17.0	17.5	17.5	17.5	17.5	17.3	17.2	17.0	18.7	18.1	66.4	69.8	71.0	71.7	71.5	69.5	69.0
Total	\$533.8	\$665.5	\$808.4	\$1,006.3	\$1,252.9	\$1,525.7	\$1,663.3	\$1,825.6	\$1,982.5	\$2,187.7	\$2,105.2	\$4,593.4	\$7,659.1	\$10,291.5	\$1,645.0	\$3,014.0	\$6,267.6
Check	\$533.8	\$665.5	\$808.4	\$1,006.3	\$1,252.9	\$1,525.7	\$1,663.3	\$1,825.6	\$1,982.5	\$2,187.7	\$2,105.2	\$4,593.4	\$7,659.1	\$10,291.5	\$1,645.0	\$3,014.0	\$6,267.6
QoQ Growth																	
Cloud & Networking	13%	28%	23%	26%	26%	23%	9%	10%	9%	11%							
Telecom	17%	10%	10%	16%	10%	8%	5%	5%	5%	5%							
Datacom	7%	51%	37%	34%	37%	31%	11%	12%	10%	13%							
Lasers/Other	12%	39%	24%	30%	30%	10%	4%	3%	2%	2%							
Transceivers (Cloudli	0%	56%	43%	30%	18%	10%	8%	5%	3%	3%							
OCS				100%	150%	100%	10%	10%	5%	5%							
CPO							80%	75%	50%	50%							
Industrial Tech	(0%)	0%	0%	(0%)	1%	0%	0%	0%	5%	3%							
Laser	(5%)	(1%)	0%	(1%)	1%	1%	1%	1%	3%	5%							
3D Sensing	(2%)	3%	0%	0%	0%	(1%)	(1%)	(1%)	(0%)	(3%)							
Total	11%	25%	21%	24%	25%	22%	9%	10%	9%	10%							
YoY Growth																	
Total Cloud & Networking	69%	80%	106%	124%	151%	141%	114%	86%	61%	45%	58%	133%	70%	35%	30%	98%	117%
Telecom	70%	42%	51%	64%	54%	51%	45%	31%	25%	22%	39%	55%	30%	5%	6%	56%	44%
Datacom	67%	141%	187%	196%	279%	228%	167%	123%	80%	55%	87%	228%	93%	47%	89%	155%	178%
Lasers/Other	39%	127%	121%	152%	191%	130%	93%	53%	20%	11%	114%	148%	37%	20%		112%	103%
Transceivers (Cloudli	125%	141%	245%	189%	241%	141%	82%	47%	28%	20%	59%	192%	40%	25%	180%	102%	
OCS						2,400%	1,002%	505%	154%	33%		4,400%	173%	25%			1,021%
CPO										609%			1,317%	150%			
Industrial Tech	3%	(10%)	(6%)	(1%)	0%	0%	1%	2%	6%	9%							
Laser	15%	(11%)	(10%)	(6%)	(1%)	1%	2%	4%	6%	10%	11%	(4%)	5%	5%	(15%)	(4%)	1%
3D Sensing	(16%)	(9%)	4%	16%	3%	(1%)	(2%)	(3%)	7%	5%	(14%)	5%	2%	1%	(40%)	(3%)	(1%)
Total	58%	65%	90%	109%	135%	129%	106%	81%	58%	43%	49%	118%	67%	34%	21%	83%	108%
% of Sales																	
Cloud & Networking	89%	92%	93%	94%	95%	96%	97%	97%	97%	97%	89%	95%	97%	98%	86%	93%	96%
Telecom	51%	45%	41%	38%	33%	30%	29%	27%	26%	25%	48%	34%	27%	21%	50%	42%	29%
Datacom	38%	47%	52%	57%	62%	67%	68%	70%	71%	72%	41%	61%	70%	77%	36%	50%	67%
Lasers/Other	22%	24%	25%	26%	27%	24%	23%	22%	20%	19%	22%	25%	21%	19%	21%	24%	24%
Transceivers (Cloudli	17%	21%	25%	26%	24%	22%	22%	21%	20%	19%	18%	24%	20%	19%	15%	23%	22%
OCS			3%	5%	10%	16%	17%	17%	16%	15%	0%	10%	16%	15%		3%	15%
CPO			0%	0%	1%	4%	6%	10%	14%	19%		0%	2%	13%			6%
Industrial Tech	11%	8%	7%	6%	5%	4%	3%	3%	3%	3%	11%	5%	3%	2%	14%	7%	4%
Laser	7%	6%	5%	4%	3%	3%	2%	2%	2%	2%	8%	3%	2%	2%	10%	5%	3%
3D Sensing	3%	3%	2%	2%	1%	1%	1%	1%	1%	1%	3%	2%	1%	1%	4%	2%	1%
Total	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%

Source: Company Reports, Jefferies Research

Figure 14 - Income Statement

Lumentum Period Ending \$ in Million	9-25 3Q	12-25 4Q	3-26 1Q	6-26 2Q	9-26 3QE	12-26 4QE	3-27 1QE	6-27 2QE	9-27 3QE	12-27 4QE	2025 CY	2026 CYE	2027 CYE	2028 CYE	2025 FY	2026 FYE	2027 FYE
Income Statement																	
Revenues	\$533.8	\$665.5	\$808.4	\$1,006.3	\$1,252.9	\$1,525.7	\$1,663.3	\$1,825.6	\$1,982.5	\$2,187.7	\$2,105.2	\$4,593.4	\$7,659.1	\$10,291.5	\$1,645.0	\$3,014.0	\$6,267.6
QoQ	11.0%	24.7%	21.5%	24.5%	24.5%	21.8%	9.0%	9.8%	8.6%	10.4%							
YoY	58.4%	65.5%	90.1%	109.3%	134.7%	129.3%	105.8%	81.4%	58.2%	43.4%	48.9%	118.2%	66.7%	34.4%	21.0%	83.2%	107.9%
Cost of Goods	323.5	382.9	421.5	499.4	605.4	734.2	798.0	867.9	934.2	1,019.3	1,281.2	2,260.5	3,619.4	4,738.6	1,073.5	1,627.3	3,005.6
Gross Profit	\$210.3	\$282.6	\$386.9	\$506.9	\$647.6	\$791.5	\$865.3	\$957.6	\$1,048.3	\$1,168.4	\$824.0	\$2,332.9	\$4,039.6	\$5,552.9	\$571.5	\$1,386.7	\$3,262.0
R&D	69.0	69.9	78.4	87.5	90.0	95.0	97.9	100.9	102.4	103.9	269.8	350.9	404.9	433.2	256.0	304.8	383.7
SG&A	41.5	45.0	47.8	50.6	52.0	54.0	55.1	55.6	56.1	56.6	168.3	204.4	223.3	236.7	155.4	184.9	216.7
Total Operating Expense	\$110.5	\$114.9	\$126.2	\$138.1	\$142.0	\$149.0	\$152.9	\$156.4	\$158.4	\$160.4	\$438.1	\$555.3	\$628.2	\$670.0	\$411.4	\$489.7	\$600.4
Operating Income	\$99.8	\$167.7	\$260.7	\$368.8	\$505.6	\$642.5	\$712.4	\$801.2	\$889.8	\$1,007.9	\$385.9	\$1,777.6	\$3,411.4	\$4,882.9	\$160.1	\$897.0	\$2,661.7
Interest expense	(4.9)	(5.2)	(5.1)	(2.8)	(3.0)	(3.0)	(3.0)	(3.0)	(3.0)	(3.0)	(21.2)	(13.9)	(12.0)	(20.0)	(22.2)	(18.0)	(12.0)
Other income (expense), net	8.6	9.8	14.7	24.8	14.0	16.1	18.6	21.4	24.4	27.5	35.9	69.6	91.8	101.0	37.4	57.9	70.0
Interest and other income (exp), net	3.7	4.6	9.6	22.0	11.0	13.1	15.6	18.4	21.4	24.5	14.7	55.7	79.8	81.0	15.2	39.9	58.0
Profit Before Taxes	\$103.5	\$172.3	\$270.3	\$390.8	\$516.6	\$655.6	\$728.0	\$819.6	\$911.2	\$1,032.4	\$400.6	\$1,833.2	\$3,491.2	\$4,963.9	\$175.3	\$936.9	\$2,719.7
Taxes	17.1	28.4	44.6	64.5	85.2	108.2	120.1	135.2	150.4	170.4	66.1	302.5	576.1	819.0	28.9	154.6	448.8
Net Income - Pro Forma	\$86.4	\$143.9	\$225.7	\$326.3	\$431.3	\$547.4	\$607.9	\$684.3	\$760.9	\$862.1	\$334.5	\$1,530.7	\$2,915.2	\$4,144.9	\$146.4	\$782.3	\$2,271.0
EPS - Pro Forma (ex-ESO)	\$1.10	\$1.67	\$2.37	\$3.23	\$4.23	\$5.34	\$5.90	\$6.63	\$7.36	\$8.32	\$4.22	\$15.17	\$28.21	\$39.73	\$2.04	\$8.37	\$22.10
EPS - Pro Forma (incl-ESO)	\$0.51	\$1.11	\$1.88	\$2.73	\$3.74	\$4.85	\$5.41	\$6.14	\$6.86	\$7.82	\$1.73	\$13.21	\$26.23	\$37.67	\$0.43	\$6.33	\$20.13
EPS - GAAP	\$0.05	\$0.89	\$1.50	(\$84.65)	\$3.41	\$4.52	\$5.08	\$5.81	\$6.54	\$7.50	\$3.03	\$15.36	\$24.93	\$36.38	\$0.36	\$8.67	\$18.82
Fully Diluted Shares	78.3	86.1	95.2	101.1	102.0	102.5	103.0	103.2	103.4	103.6	79.3	100.9	103.3	104.3	71.7	93.4	102.7
Percent of Sales																	
Gross Margin	39.4%	42.5%	47.9%	50.4%	51.7%	51.9%	52.0%	52.5%	52.9%	53.4%	39.1%	50.8%	52.7%	54.0%	34.7%	46.0%	52.0%
R&D	12.9%	10.5%	9.7%	8.7%	7.2%	6.2%	5.9%	5.5%	5.2%	4.7%	12.8%	7.6%	5.3%	4.2%	15.6%	10.1%	6.1%
SG&A	7.8%	6.8%	5.9%	5.0%	4.2%	3.5%	3.3%	3.0%	2.8%	2.6%	8.0%	4.4%	2.9%	2.3%	9.4%	6.1%	3.5%
Operating Margin	18.7%	25.2%	32.2%	36.6%	40.4%	42.1%	42.8%	43.9%	44.9%	46.1%	18.3%	38.7%	44.5%	47.4%	9.7%	29.8%	42.5%
Pre-Tax Margin	19.4%	25.9%	33.4%	38.8%	41.2%	43.0%	43.8%	44.9%	46.0%	47.2%	19.0%	39.9%	45.6%	48.2%	10.7%	31.1%	43.4%
Tax Rate	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%
Net Income	16.2%	21.6%	27.9%	32.4%	34.4%	35.9%	36.5%	37.5%	38.4%	39.4%	15.9%	33.3%	38.1%	40.3%	8.9%	26.0%	36.2%
Sequential Change																	
R&D	2.1%	1.3%	12.2%	11.6%	2.9%	5.6%	3.0%	3.1%	1.5%	1.5%	5.3%	30.1%	15.4%	7.0%	(1.7%)	19.1%	25.9%
SG&A	(0.5%)	8.4%	6.2%	5.9%	2.8%	3.8%	2.0%	0.9%	0.9%	0.9%	14.6%	21.4%	9.3%	6.0%	3.1%	19.0%	17.2%
Reconciliation of Pro Forma to GAAP																	
Stock-based compensation	(46.5)	(47.9)	(46.8)	(50.1)	(50.4)	(50.6)	(50.9)	(51.1)	(51.4)	(51.6)	(\$197.2)	(\$197.9)	(\$204.9)	(215.1)	(\$177.2)	(\$191.3)	(\$202.9)
Acquisition related costs	(1.3)	1.4	(0.4)								(1.1)	(0.4)			(1.2)	(0.3)	
Integration related costs	0.8	(1.3)	(1.4)	(0.5)							(3.2)	(1.9)			(9.2)	(2.4)	
Amortization of acquired intangibles	(34.4)	(34.0)	(33.8)	(33.5)	(33.5)	(33.5)	(33.5)	(33.5)	(33.5)	(33.5)	(137.4)	(134.3)	(134.0)	(134.0)	(149.7)	(135.7)	(134.0)
Restructuring and related charges	(8.3)	0.4	(1.1)	(2.4)							(20.3)	(3.5)			(22.8)	(11.4)	
Inducement Expense	(5.9)																
Intangible asset write-off				(2.5)							(0.8)	(2.5)			(2.7)	(2.5)	
Loss on debt extinguishment				(7,756.6)													
Escrow settlement		27.5															
Acquisition-related warranty provision		(9.8)															
Gain on sale of facility											34.9				34.9		
Foreign exchange (gains) losses, net	1.5	(0.6)	0.8	(2.2)							(8.5)	(1.4)			(4.2)	(0.5)	
Non-cash interest expense on convertible	(0.8)	(1.1)	(1.1)	(0.8)							(3.4)	(1.9)			(3.0)	(3.8)	
Income tax reconciling adjustments	16.1	10.1	5.0	361.1							266.6	366.1			226.9	392.3	
Other charges, net	(3.4)	(10.4)	(2.7)	(0.5)							(24.3)	(3.2)			(12.3)	(17.0)	
Net Income - GAAP	\$4.2	\$78.2	\$144.2	(\$7,161.7)	\$347.5	\$463.3	\$523.5	\$599.7	\$676.0	\$777.0	\$239.8	\$1,549.9	\$2,576.3	\$3,795.7	\$25.9	\$809.7	\$1,934.1
GAAP Shares	78.3	87.8	96.2	84.6	102.0	102.5	103.0	103.2	103.4	103.6	79.3	100.9	103.3	104.3	71.7	93.4	102.7
EPS - GAAP	\$0.05	\$0.89	\$1.50	(\$84.65)	\$3.41	\$4.52	\$5.08	\$5.81	\$6.54	\$7.50	\$3.03	\$15.36	\$24.93	\$36.38	\$0.36	\$8.67	\$18.82

Source: Company Reports, Jefferies Research

Figure 15 - Balance Sheet

Lumentum Period Ending \$ in million	9-25 3Q	12-25 4Q	3-26 1Q	6-26 2Q	9-26 3QE	12-26 4QE	3-27 1QE	6-27 2QE	9-27 3QE	12-27 4QE	2025 CY	2026 CYE	2027 CYE	2025 FY	2026 FYE	2027 FYE
Balance Sheet																
Assets																
Cash and cash equivalents	\$772.9	\$657.7	\$2,617.8	\$2,043.5	\$2,173.9	\$2,428.1	\$2,941.3	\$3,521.0	\$4,188.4	\$4,929.4	\$657.7	\$2,428.1	\$4,929.4	\$520.7	\$2,043.5	\$3,521.0
Short-term investments	348.9	497.6	554.5	694.9	694.9	694.9	694.9	694.9	694.9	694.9	497.6	694.9	694.9	356.4	694.9	694.9
Accounts Receivable, net	307.0	376.8	441.6	520.3	688.4	838.3	913.9	1,003.1	1,089.3	1,202.0	376.8	838.3	1,202.0	250.0	520.3	1,003.1
Inventories	531.6	570.4	632.8	691.6	831.6	1,008.6	1,096.2	1,192.2	1,283.2	1,400.2	570.4	1,008.6	1,400.2	470.1	691.6	1,192.2
Prepaids and other current ass	125.2	180.7	149.0	211.6	211.6	211.6	211.6	211.6	211.6	211.6	180.7	211.6	211.6	120.1	211.6	211.6
Total Current Assets	\$2,085.6	\$2,283.2	\$4,395.7	\$4,161.9	\$4,600.4	\$5,181.5	\$5,857.9	\$6,622.8	\$7,467.3	\$8,438.1	\$2,283.2	\$5,181.5	\$8,438.1	\$1,717.3	\$4,161.9	\$6,622.8
Property and Equipment	\$794.8	\$813.5	\$964.3	\$1,159.1	\$1,183.3	\$1,196.4	\$1,196.4	\$1,196.4	\$1,196.4	\$1,196.4	\$813.5	\$1,196.4	\$1,196.4	\$726.4	\$1,159.1	\$1,196.4
Operating lease right-of-use assets	30.5	29.6	27.0	29.2	29.2	29.2	29.2	29.2	29.2	29.2	29.6	29.2	29.2	27.9	29.2	29.2
Goodwill	1,060.9	1,060.9	1,066.3	1,069.3	1,069.3	1,069.3	1,069.3	1,069.3	1,069.3	1,069.3	1,060.9	1,069.3	1,069.3	1,060.9	1,069.3	1,069.3
Other intangible assets	430.7	396.7	362.9	326.9	326.9	326.9	326.9	326.9	326.9	326.9	396.7	326.9	326.9	465.1	326.9	326.9
Deferred income taxes	204.6	206.1	197.9	530.9	530.9	530.9	530.9	530.9	530.9	530.9	206.1	530.9	530.9	210.3	530.9	530.9
Other non-current assets	6.0	15.3	13.8	30.2	30.2	30.2	30.2	30.2	30.2	30.2	15.3	30.2	30.2	10.8	30.2	30.2
Total Assets	\$4,613.1	\$4,805.3	\$7,027.9	\$7,307.5	\$7,770.2	\$8,364.4	\$9,040.8	\$9,805.7	\$10,650.2	\$11,620.9	\$4,805.3	\$8,364.4	\$11,620.9	\$4,218.7	\$7,307.5	\$9,805.7
Liabilities																
Accounts Payable	\$278.6	\$347.4	\$392.7	\$567.4	\$598.7	\$645.5	\$701.5	\$763.0	\$821.3	\$896.1	\$347.4	\$645.5	\$896.1	\$225.2	\$567.4	\$763.0
Accrued payroll and related expens	69.3	85.3	109.7	146.3	146.3	146.3	146.3	146.3	146.3	146.3	85.3	146.3	146.3	57.9	146.3	146.3
Accrued expenses	45.5	39.2	48.9	64.9	64.9	64.9	64.9	64.9	64.9	64.9	39.2	64.9	64.9	34.6	64.9	64.9
Current portion of long-term debt	1,079.0	3,240.2	3,238.6	1,596.9	1,596.9	1,596.9	1,596.9	1,596.9	1,596.9	1,596.9	3,240.2	1,596.9	1,596.9	10.6	1,596.9	1,596.9
Operating lease current liabilities	12.2	12.7	12.5	13.5	13.5	13.5	13.5	13.5	13.5	13.5	12.7	13.5	13.5	11.4	13.5	13.5
Other current liabilities	41.6	42.8	62.9	91.5	91.5	91.5	91.5	91.5	91.5	91.5	42.8	91.5	91.5	53.1	91.5	91.5
Total Current Liabilities	\$1,526.2	\$3,767.6	\$3,865.3	\$2,480.5	\$2,511.8	\$2,558.6	\$2,614.6	\$2,676.1	\$2,734.4	\$2,809.2	\$3,767.6	\$2,558.6	\$2,809.2	\$392.8	\$2,480.5	\$2,676.1
Long-term debt	\$2,164.5	\$47.1	\$43.2	\$40.5	\$40.5	\$40.5	\$40.5	\$40.5	\$40.5	\$40.5	\$47.1	\$40.5	\$40.5	\$2,562.6	\$40.5	\$40.5
Operating lease liabilities, non-curre	24.5	22.7	19.4	20.3	20.3	20.3	20.3	20.3	20.3	20.3	22.7	20.3	20.3	23.6	20.3	20.3
Deferred tax liability	6.0	5.6	5.4	7.1	7.1	7.1	7.1	7.1	7.1	7.1	5.6	7.1	7.1	7.2	7.1	7.1
Other non-current liabilities	111.1	115.7	121.2	115.2	115.2	115.2	115.2	115.2	115.2	115.2	115.7	115.2	115.2	97.8	115.2	115.2
Total Liabilities	\$3,832.3	\$3,958.7	\$4,054.5	\$2,663.6	\$2,694.9	\$2,741.7	\$2,797.7	\$2,859.2	\$2,917.5	\$2,992.3	\$3,958.7	\$2,741.7	\$2,992.3	\$3,084.0	\$2,663.6	\$2,859.2
Shareholders' Equity																
Common stock	\$0.1	\$0.1	\$0.1	\$0.1	\$0.1	\$0.1	\$0.1	\$0.1	\$0.1	\$0.1	\$0.1	\$0.1	\$0.1	\$0.1	\$0.1	\$0.1
Additional paid-in capital	1,628.6	1,615.9	3,600.9	12,430.1	12,463.6	12,497.1	12,594.0	12,697.6	12,807.9	12,926.8	1,615.9	12,497.1	12,926.8	1,986.8	12,430.1	12,697.6
Accumulated deficit	(857.0)	(778.8)	(634.6)	(7,796.3)	(7,398.5)	(6,884.6)	(6,361.0)	(5,761.3)	(5,085.3)	(4,308.3)	(778.8)	(6,884.6)	(4,308.3)	(861.2)	(7,796.3)	(5,761.3)
Accumulated other comprehensive	9.1	9.4	7.0	10.0	10.0	10.0	10.0	10.0	10.0	10.0	9.4	10.0	10.0	9.0	10.0	10.0
Total Shareholder's Equity	\$780.8	\$846.6	\$2,973.4	\$4,643.9	\$5,075.3	\$5,622.7	\$6,243.0	\$6,946.4	\$7,732.7	\$8,628.6	\$846.6	\$5,622.7	\$8,628.6	\$1,134.7	\$4,643.9	\$6,946.4
Total Liabilities, Equity & Preferred St	\$4,613.1	\$4,805.3	\$7,027.9	\$7,307.5	\$7,770.2	\$8,364.4	\$9,040.8	\$9,805.7	\$10,650.2	\$11,620.9	\$4,805.3	\$8,364.4	\$11,620.9	\$4,218.7	\$7,307.5	\$9,805.7

Source: Company Reports, Jefferies Research

Figure 16 - Statement of Cash Flows

Lumentum Period Ending \$ in million	9-30 20	12-26 20	3-26 21	6-26 21	9-26 21	12-26 21	3-27 22	6-27 22	9-27 22	12-27 22	2025 Q1	2026 Q1E	2027 Q1E	2025 F1	2026 F1E	2027 F1E
Cash Flows																
Cash Flow from Ops.																
Net income	\$4.2	\$78.2	\$144.2	(\$7,161.7)	\$347.5	\$463.3	\$523.5	\$599.7	\$676.0	\$777.0	\$251.6	(\$6,206.7)	\$2,576.3	\$25.9	(\$6,935.1)	\$1,934.1
Depreciation	27.8	30.8	\$23.8	40.8	20.8	61.9	87.5	74.1	80.4	88.8	108.8	186.4	310.8	104.3	132.0	254.3
Share-based compensation	42.4	45.4	\$41.6	50.1	50.4	50.6	50.9	51.1	51.4	51.6	180.6	192.7	204.9	177.2	179.5	202.9
Amortization of acquired intangibles	34.4	34.0	\$33.8	33.5	33.5	33.5	33.5	33.5	33.5	33.5	138.2	134.5	134.0	152.4	135.7	134.0
(Gain) loss on sales and dispositions	0.4	11.6	(\$12.0)								16.4	(12.0)		5.2		
Amortization of debt discount and debt	0.8	1.1	\$1.1								3.4	1.1		3.0		
Write-down and loss on sales and dispositions of PPPE			\$13.4								2.3	13.4		7.8		
Write-off of rights-of-use assets											3.3			3.4	(0.1)	
Bad debt expense	(0.1)															
Inducement expense on partial repurchase of 2025 notes			\$5.9								(34.9)	5.9		(34.9)	5.9	
Gain on sale of facility											1.4	(1.4)				
Change in valuation allowance on deferred tax asse		1.4	(\$1.4)													
Loss on early extinguishment of debt				7,756.6								7,756.6			7,756.6	
Other non-cash items	2.6	(2.9)	(\$8.8)								4.8	(8.8)		(3.5)		
Changes in operating assets and liabilities:																
Accounts receivable	(56.5)	(69.8)	(\$54.8)	(78.7)	(168.1)	(149.5)	(75.0)	(89.1)	(86.2)	(112.8)	(153.2)	(461.5)	(363.7)	(58.7)	(270.2)	(482.8)
Inventories	(57.5)	(45.0)	(\$62.7)	(58.8)	(140.0)	(177.0)	(87.6)	(96.0)	(91.0)	(117.0)	(168.8)	(438.5)	(391.6)	(71.3)	(224.0)	(500.6)
Operating lease right-of-use as	(2.6)	0.9	\$2.6								1.0	2.6		5.1	0.9	
Prepayments and other current	(2.4)	(25.0)	\$4.9								(47.5)	4.9		(35.1)	(22.5)	
Income taxes	(1.9)	3.4	\$16.4								(245.2)	16.4		(218.2)	17.9	
Accounts payable	28.8	51.1	\$29.5								10.4	282.3		69.2	284.1	195.6
Accrued payroll and related exp	11.4	16.0	\$24.4	174.7	31.3	46.8	56.1	61.5	58.2	74.9	45.4	24.4		22.0	51.8	
Operating lease liabilities	1.7	(1.3)	(\$3.5)								(1.9)	(3.5)		(5.7)	(5.1)	
Accrued expenses and other c	\$4.8	(3.0)	\$6.4								19.9	6.4		(21.8)	28.2	
Net Cash from Operations	\$67.9	\$126.7	\$263.8	\$756.5	\$205.4	\$329.2	\$568.2	\$634.7	\$722.3	\$796.0	\$247.0	\$1,494.9	\$2,721.2	\$126.3	\$1,144.9	\$1,737.5
Cash Flow from Investing																
Capital expenditures	(\$76.2)	(\$83.6)	(\$124.7)	(\$75.0)	(\$75.0)	(\$75.0)	(\$65.0)	(\$55.0)	(\$55.0)	(\$55.0)	(\$276.5)	(\$349.7)	(\$220.0)	(\$231.0)	(\$359.5)	(\$200.0)
Purchases of short-term investments	(58.3)	(199.2)	(\$121.7)								(433.0)	(121.7)		(365.9)	(379.2)	
Proceeds from maturities and sales	66.7	51.3	\$53.0								356.0	63.0		454.7	181.6	
Proceeds from the sales of PPPE		0.1	\$39.5								0.2	39.5		0.3	39.6	
Net Cash from Investing	(\$67.8)	(\$231.4)	(\$161.9)	(\$75.0)	(\$75.0)	(\$75.0)	(\$65.0)	(\$55.0)	(\$55.0)	(\$55.0)	\$7.8	(\$406.9)	(\$220.0)	(\$84.5)	(\$556.1)	(\$200.0)
Cash Flows from Financing																
Proceeds from issuances of Series A convertible preferred stock			1,999.7									1,999.7			1,999.7	
Payment of withholding taxes related	(\$47.4)	(\$50.0)	(\$5.8)								(\$125.3)	(\$56.8)		(\$41.7)	(\$164.2)	
Proceeds from employee stock plans	1.5	7.2	0.5								16.7	0.5		16.1	9.2	
Proceeds from debt											47.9			76.5	47.9	
Repayments of debt	(2.6)	(2.5)	5.1								(10.3)	5.1		(8.1)		
Payment of acquisitions														(1.0)	(1,255.8)	
Cash raise from NVDA																
Net Cash from Financing	\$262.1	(\$10.5)	\$1,938.2	(\$1,255.8)							\$236.5	\$682.4		\$41.8	\$934.0	
Cash and cash eqv at beginning	\$520.7	\$772.9	\$657.7	\$2,617.8	\$2,043.5	\$2,173.9	\$2,428.1	\$2,941.3	\$3,521.0	\$4,188.4	\$479.7	\$657.7	\$2,428.1	\$436.7	\$520.7	\$2,043.5
Net increase in cash and cash eqv	262.2	(115.2)	1,660.1	(674.3)	190.4	254.2	613.2	679.7	667.3	741.0	178.0	1,770.4	2,801.2	84.0	1,622.8	1,477.5
Cash, cash Eqv, cash at end	\$772.9	\$657.7	\$2,617.8	\$2,043.5	\$2,173.9	\$2,428.1	\$2,941.3	\$3,521.0	\$4,188.4	\$4,929.4	\$657.7	\$2,428.1	\$4,929.4	\$520.7	\$2,043.5	\$3,521.0
Check																
Cash Flow from Operations	\$67.9	\$126.7	\$263.8	\$756.5	\$205.4	\$329.2	\$568.2	\$634.7	\$722.3	\$796.0	\$247.0	\$1,494.9	\$2,721.2	\$126.3	\$1,144.9	\$1,737.5
Changes	(\$76.2)	(\$83.6)	(\$124.7)	(\$75.0)	(\$75.0)	(\$75.0)	(\$65.0)	(\$55.0)	(\$55.0)	(\$55.0)	(\$276.5)	(\$349.7)	(\$220.0)	(\$231.0)	(\$359.5)	(\$200.0)
Free Cash Flow	(\$18.3)	\$43.1	\$78.1	\$681.5	\$130.4	\$254.2	\$513.2	\$579.7	\$667.3	\$741.0	(\$52.5)	\$1,145.2	\$2,501.2	(\$184.7)	\$785.4	\$1,477.5
Free Cash Flow to Equity	(\$20.9)	\$91.0	\$84.2	\$681.5	\$130.4	\$254.2	\$513.2	\$579.7	\$667.3	\$741.0	88.1	\$1,150.3	\$2,501.2	(\$36.3)	\$833.3	\$1,477.5
Equity FCF/Share	(\$0.27)	\$1.06	\$0.88	\$6.74	\$1.28	\$2.48	\$4.98	\$5.62	\$6.48	\$7.19	\$0.10	\$1.40	\$24.21	(\$0.51)	\$5.92	\$14.38

Source: Company Reports, Jefferies Research

Company Description

Lumentum

Lumentum spun out of the former JDS Uniphase on August 1, 2015 and was formerly JDSU's CCOP division. Lumentum is a leader in the market for optical components for communications applications, which comprises roughly 75% of revenue. The company also sells commercial lasers for industrial applications. Lumentum is a play on data growth in carrier and enterprise networks.

Company Valuation/Risks

Lumentum

Price Target: \$1,200 implies 30x our CY28E EPS of \$39.73.

Risks:

- Slower-than-expected Cloud Provider transceiver ramps
- Rising competitive intensity in the industry
- Significant portion of EPS power coming from stock comp expense.

Alphabet, Inc.

Our \$445 PT is based on 19x EV/EBITDA our forward NTM estimates, which is above the 12.5x 10-year historical average given its superior fundamentals relative to peers. Risks include impact from macro, regulatory overhang, margin pressure from ongoing investments, and impacts from shift toward generative AI, mobile, in-app, and voice-to-core search.

NVIDIA Corporation

Price Target: \$300 implies 21x our CY28E EPS of \$14.14.

Risks:

- Emerging competitive threats from INTC, AMD, and internally designed ASICs from Hyperscalers take share and pressure ASPs.
- Slowing datacenter capital spending from Enterprises and Hyperscalers.
- Slower-than-expected ramp of Automotive platform.

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Investment Recommendation Record

(Article 3(1)e and Article 7 of MAR)

Recommendation Published
Recommendation Distributed

August 11, 2026 23:10 P.M.
August 11, 2026 23:10 P.M.

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Buy - Describes securities that we expect to provide a total return (price appreciation plus yield) of 15% or more within a 12-month period.

Hold - Describes securities that we expect to provide a total return (price appreciation plus yield) of plus 15% or minus 10% within a 12-month period.

Underperform - Describes securities that we expect to provide a total return (price appreciation plus yield) of minus 10% or less within a 12-month period.

The expected total return (price appreciation plus yield) for Buy rated securities with an average security price consistently below \$10 is 20% or more within a 12-month period as these companies are typically more volatile than the overall stock market. For Hold rated securities with an average security price consistently below \$10, the expected total return (price appreciation plus yield) is plus or minus 20% within a 12-month period. For Underperform rated securities with an average security price consistently below \$10, the expected total return (price appreciation plus yield) is minus 20% or less within a 12-month period.

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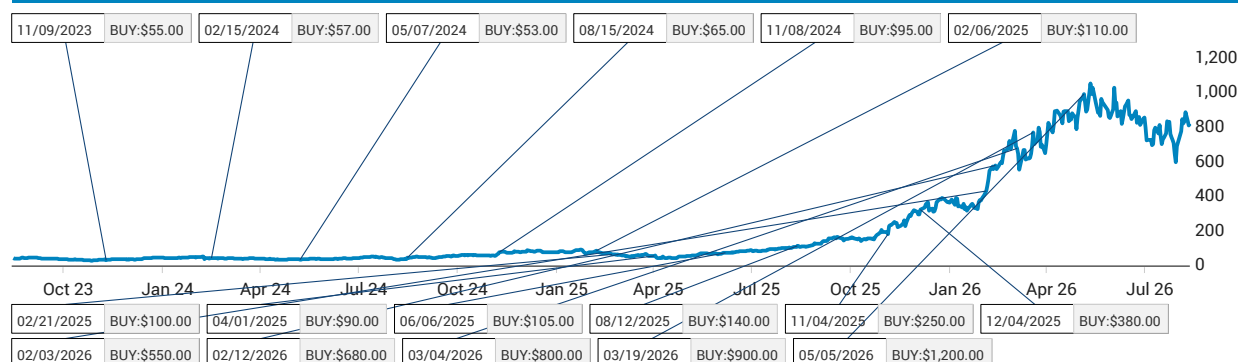
Risks which may impede the achievement of our Price Target

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Other Companies Mentioned in This Report

- Alphabet, Inc. (GOOGL: \$343.80, BUY)
- Lumentum Holdings Inc. (LITE: \$820.59, BUY)
- NVIDIA Corporation (NVDA: \$217.50, BUY)

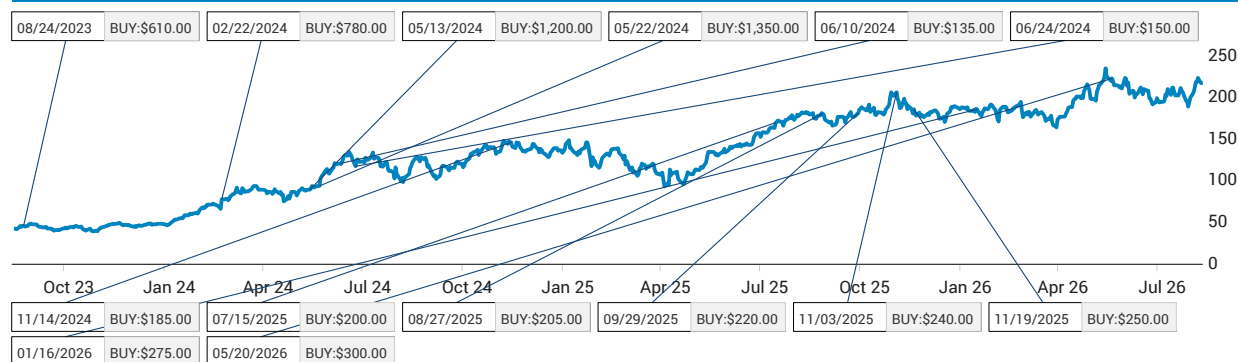
Rating and Price Target History for: Lumentum Holdings Inc. (LITE) as of 08-11-2026



Rating and Price Target History for: Alphabet, Inc. (GOOGL) as of 08-11-2026



Rating and Price Target History for: NVIDIA Corporation (NVDA) as of 08-11-2026



Notes: Each box in the Rating and Price Target History chart above represents actions over the past three years in which an analyst initiated on a company, made a change to a rating or price target of a company or discontinued coverage of a company.

Legend:

I: Initiating Coverage

D: Dropped Coverage

B: Buy

H: Hold

UP: Underperform

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			IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
	Count	Percent	Count	Percent	Count	Percent
BUY	2203	62.25%	390	17.70%	116	5.27%
HOLD	1177	33.26%	92	7.82%	14	1.19%
UNDERPERFORM	159	4.49%	0	0.00%	0	0.00%

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